ESCALATION AND DELINQUENCY POLICY (Sample, fictional)
Policy ID: ES-03

1. Delinquency stages

An account is in Stage 1 when it is 1 to 30 days overdue, Stage 2 when it is 31 to 60 days overdue, Stage 3 when it is 61 to 90 days overdue, and Stage 4 when it is more than 90 days overdue.

2. Actions by stage

In Stage 1 the customer receives a reminder message and no late fee is charged during the first 10 days. In Stage 2 a collections officer must attempt a live phone conversation and must offer to discuss a hardship plan. In Stage 3 the account is assigned to a named collections officer and a formal notice of arrears is sent by post.

3. Escalation to a human reviewer

Every account that reaches Stage 4, meaning more than 90 days overdue, must be escalated to a human collections officer before any legal notice is sent. An automated agent must also escalate to a human when the customer disputes the debt, when the customer mentions bankruptcy or a lawyer, when the outstanding balance is above 25,000 dollars, or when the agent’s confidence in its recommended action is low.

4. Legal action

Legal action may only be started on accounts in Stage 4 and requires written approval from the Head of Collections. Legal action must not be started while a hardship plan is active or while a dispute is open.

5. Record keeping

Each escalation must record the reason, the date, the officer who accepted it, and the outcome. Records are kept for seven years.